How Nvidia CEO’s Affair Became a National Security Nightmare

Podcast: Wall street journal

AI Executive Summary

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Core Thesis

The episode discusses the national security implications of an affair involving Jensen Huang, the CEO of NVIDIA, and Alice Wong, a woman accused of being a Chinese spy. The affair has significant ramifications for NVIDIA, its relationship with the U.S. government, and the broader geopolitical context of the AI race between the U.S. and China. The main premise is that this affair could undermine Huang's credibility and the trust the U.S. government places in him, potentially affecting future policy decisions and business strategies.

Key Arguments & Data

- **Affair Details**: Alice Wong, a tech executive and former Chinese state TV reporter, is suspected of being a Chinese spy who had an affair with Jensen Huang, the CEO of NVIDIA. The affair was discovered after Wong was seen in public with Huang, raising suspicions of a deeper connection.
- **Company Impact**: NVIDIA's board initiated an independent investigation into whether Huang was the target of a foreign intelligence effort. Huang acknowledged his affair and apologized to his family and colleagues, emphasizing his commitment to protecting NVIDIA and supporting America's national security.
- **National Security Concerns**: The affair raises questions about potential breaches of national security, particularly in the context of AI technology. Huang's relationship with the U.S. government, including his involvement in AI policy discussions, could be compromised if sensitive information was shared with Chinese intelligence.
- **Megaspeed Investigation**: Megaspeed, a company that buys NVIDIA chips and builds data centers in Asia, is under investigation for possible violations of export controls. The U.S. government has been investigating Megaspeed since at least the end of 2024, with concerns about the company's potential role in smuggling American microchips into China.
- **AI Race Dynamics**: The episode highlights the intense competition between the U.S. and China in the AI race, with both countries seeking to dominate AI technology. NVIDIA's chips are considered critical for advancing AI capabilities, making the company a target for espionage and regulatory scrutiny.
- **Policy Implications**: The affair has broader implications for U.S. policy on AI technology and its export controls. Policymakers may become more cautious about engaging with companies like NVIDIA, potentially limiting their access to the U.S. market and technology.

Actionable Takeaways

- **Investors**: Investors in NVIDIA and other tech companies should remain vigilant about national security risks and regulatory changes. The affair may lead to stricter export controls and increased scrutiny of tech companies' relationships with foreign entities.
- **Tech Executives**: Tech executives should be cautious about personal relationships, especially with individuals from foreign countries, to avoid compromising their companies' national security interests.
- **Regulatory Bodies**: Regulatory bodies should continue to monitor and enforce export controls to prevent the unauthorized transfer of sensitive technology to countries with potential national security concerns.
- **Government Officials**: Government officials should reassess their trust in tech executives and their ability to make informed decisions about AI policy, considering the potential risks of compromised information.
- **Strategic Steps**: Companies should implement robust cybersecurity measures and conduct regular risk assessments to mitigate the risk of espionage and data breaches. They should also develop clear policies for handling personal relationships and interactions with foreign entities. ```

Diarized Transcript

SPEAKER_04: On an evening in Taipei in 2024, a group of tech executives are gathered at a rooftop bar. This is a crew that kind of likes to party. They're sitting around a table and there's this woman there and they're talking to her and just chatting. At some point in the night, Jensen Huang, the CEO of NVIDIA, one of the most valuable companies in the world, comes up in conversation. In Taiwan in particular,

SPEAKER_03: Jensen Wong is like a rock star. He's like this total celebrity. And any time he goes anywhere, he gets requests for autographs. People want to take selfies with him. He gets mobbed by even ordinary people on the street. The woman says she knows him. She says, you know, I'm great friends with Jensen Wong and I'm pretty sure I could get him to come and have a drink with us. And the guys around her are like, yeah, totally do it. and she takes out her phone and sends a couple of messages. And a few minutes later, Jensen Wong shows up. Wong orders a whiskey. He holds forth briefly with the gathered executives. And then he says he's tired and leaves alone. That's according to a person who our colleague Robbie Whelan spoke to. The guy I talked to who was there at this table, he said, you know, they didn't seem especially close. There was no clue that they were anything more than just friends. And he didn't think much of it. Would you like to know what happened next? Yeah, I would. I would very much like to know what happened next. That woman, it turns out, is a woman named Alice Wong. And she is, according to U.S. intelligence reports, she's a Chinese spy. And she had an affair with Jensen Wong. That story blew up over the weekend.

SPEAKER_04: We are monitoring Nvidia this morning following CEO Jensen Huang admitting that he had an affair with a woman who's been accused of being a Chinese spy. Nvidia boss Jensen Huang is now under investigation by his company's board after reports that he was targeted in a foreign intelligence effort. Nvidia's board expressed confidence in Huang and said it had, quote, no reason to believe that either national security or Nvidia's secrets were compromised.

SPEAKER_03: The idea that Chinese intelligence may have gotten to the CEO of Nvidia is a huge, huge deal because what it means is that at a time when there's a huge debate about who we should give our best technology to, who should be allowed to buy it, what countries should be able to have access to the technology that's going to allow them to win the AI race, we have the guy who's most important in that world, Jensen Wong.

SPEAKER_04: getting involved with a woman who is, according to U.S. intelligence reports, she's a Chinese spy. Welcome to The Journal, our show about money, business and power. I'm Kate Leimbaugh. It's Tuesday, November 10th. Coming up on the show, how Jensen Huang's affair spiraled into a national security nightmare. Are you looking for a trusted health insurance? Allianz covers you beyond borders.

SPEAKER_02: When Alice Wong was on that rooftop bar in Taipei, she was a tech executive. Before that, she'd been a reporter for Chinese state TV.

SPEAKER_03: And she's a little bit mysterious. She really only emerged on the global tech scene, so to speak, in the last three or four years. But she has been involved in doing big deals for AI chips, matching customers and data center providers all over Asia for a number of years. All right. So what do we know about the affair? how and when Alice Huang and Jensen Huang no relation met. So they meet mainly through a customer relationship. She works for a company called Megaspeed. And what exactly is Megaspeed? Megaspeed was a company that was established in 2023 as a spinoff of a Chinese company. Megaspeed has emerged as one of the biggest buyers of NVIDIA's chips in all of Asia. What they do is they build data centers And they stuff them full of invidious chips. And they build them in places like Malaysia and Singapore. And they sell that computing power that the chips give them to hundreds and hundreds of customers around Asia. Alice Huang was an executive at Megaspeed. That's how she came to know Jensen Huang. But there's a lot we don't know about her, including when she allegedly became a Chinese intelligence asset. According to our reporting, she was a tech executive. who became involved with Jensen Wong and was recruited by Chinese intelligence rather than starting out as a spy and then going out and finding a way to become

connected to Jensen Wong. One thing that people have noted in my conversations is that she and Jensen were not particularly careful about being seen in public, about being seen even in sort of affectionate positions. There's one photo of her where she sort of got her face nuzzled up against the side of his face.

SPEAKER_04: She's been with him in contexts where, you know, he's greeted by reporters and fans and it's not clear why she's there. Investigators noticed this close relationship. Authorities in Singapore and Taiwan put physical surveillance teams on Alice Huang, the journal has reported. Singapore's Ministry of Home Affairs has denied that authorities there have investigated her for alleged ties to China. U.S. officials were also investigating Megaspeed.

SPEAKER_03: as far back as the end of 2024. The United States government has been investigating Megaspeed, the company, for possible violations of export controls. So what that means is they're being accused or investigated for suspected smuggling of American microchips, specifically NVIDIA's chips, into China. The Justice Department and the Department of Commerce have had an active investigation our reporting shows into Megaspeed since at least last year. We also know that their name has come up, the name of this company has come up repeatedly as a candidate for what's called the entity list. The US entity list is the naughty list for foreign companies that the government sees as bad enough actors that they should be prohibited from doing business with the US government and with the US companies. Megaspeed isn't on that list.

SPEAKER_04: NVIDIA stopped selling its chips to the company last year, but investigators have looked at whether Megaspeed's data centers were providing compute to Chinese entities. Megaspeed couldn't immediately be reached for comment. The company has previously said it is a legitimate and compliant company that didn't engage in illegal activities. There was enough there, enough smoke that there are some people within the Trump administration who have repeatedly raised the name of this company and saying we shouldn't be doing business with them. AI is considered so central to the U.S. economy and national security that the government has

imposed strict controls on NVIDIA's most powerful chips, limiting exports to China.

SPEAKER_03: We've got this very tense relationship between Nvidia and the government. Nvidia wants to be in China. They're being told, no, they can't be in China. And at the same time, there's this whole ecosystem of people who are trying to get around these really strict export rules to provide computing access to people in China. And Alice Huang is suspected of being one of those people. Coming up, the fallout of this affair for one of America's most valuable companies.

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SPEAKER_04: NVIDIA's board announced it was conducting an independent investigation into whether CEO Jensen Huang was the target of a foreign intelligence effort. That same day, Huang acknowledged his affair in a note to the company's staff. The message says, I owe my family and all of you an apology. He then goes on and he says, I was unfaithful to my wife. My actions hurt her and our children.

SPEAKER_03: There's no excuse for what I did. I'm deeply sorry." Which is scandalous on a number of levels. Jensen's been married to his wife Lori for about 40 years. They have two kids. All of them are very involved in the company and its charitable foundation. Some of his family actually are his employees. The note went on to directly address the NVIDIA team. Regarding the national security concerns raised in news reports, NVIDIA's board of directors has initiated an independent investigation. I support the investigation and will cooperate fully. I love our country and our company. I am committed to protecting NVIDIA and supporting America's national security. So, what do you make of this statement? I think this letter is totally extraordinary. There's two things going on here in this letter. One is he's apologizing... to his family for this moral lapse or this sort of ethical lapse that he had, he committed in cheating on his wife. But then he immediately

goes from there to my colleagues at NVIDIA, you deserve better from me. And he wants to reassure us that he's totally committed to protecting NVIDIA and supporting America's national security. Suddenly it's like, whoa, it's like we're talking about an affair here. Now we're talking about America's national security. In what way could national security have been compromised? Okay, so there are two main interactions that Nvidia has with national security. Number one is the very sort of direct technological one, which is that better AI can mean better military capabilities. It can mean better missile targeting. It can mean better military intelligence. AI can, for better or for worse, help countries win wars. And so... If Nvidia has inadvertently done something that allows the Chinese to get better AI by getting access to Nvidia's chips, then that could compromise American national security by helping China develop better AI. Then there's this broader interaction that people talk about a lot, which is what does AI have to do with national security in the context of kind of the big AI race that's going on between the US and China. Right, the global race for AI dominance, et cetera. The global race for not just AI dominance, but also for achieving artificial general intelligence. This idea that maybe machines one day will have the same intellectual capabilities as humans. Maybe they will think as well as humans, reason as well as humans. And... Every country on earth, but primarily the US and China, has a vested interest in making sure that the country that is dominant in AI is using it for the right reasons. If this relationship in some way compromised Nvidia's commitment to follow US law and keep its chips out of China, then that has very serious implications for the AI race. It means that there's a lot of developers of AI tools and AI models in China who potentially have access to the chips that are going to help them overtake the US. Huang is well aware of these dynamics, and he's been cultivating a tight relationship with President Trump. He and his wife went to a million-dollar-ahead fundraiser for Trump at Mar-a-Lago in early 2025. And Trump regularly seeks Huang's advice on AI policy. For instance, at a conference in September called the All In Summit, their relationship was on full display. Jensen actually got a phone call, coincidentally, from President Trump. They put the phone on speakerphone up against the microphone. Really? On stage, yes. Hold on sir, we're getting a microphone. Mr. President, you're now talking to the planet. The great thing about... Life is that Jensen can develop— Jensen Wong was being asked, should we slow down AI? A lot of people are very worried that AI

might destroy civilization, have huge terrible consequences for society. Should we slow it down? Should we put more guardrails on it? On speakerphone, the president called those fears a hoax. And we're not going to let that happen. It's a hoax. You're right. We're not going to let that happen, sir. No, we're not going to let it happen. And he said, I'm sort of paraphrasing here, but Jensen said, no, sir, Mr. President, you can be assured we're not going to slow down AI. We're not going to let them slow things down. It's important that America wins the AI race. Jensen really has the president's ear, so much so that the president's calling him and asking for public assurances about what's the right path to go forward on in terms of AI policy. Yesterday, in the White House briefing room, Trump was asked about the affair.

SPEAKER_04: and whether he still trusts Wong. I asked him that question. Did you have any idea that she was a spy? He said, I had no idea that she was a spy. And I really believe him. Yeah, please. Robbie, what is all of this going to mean for Jensen Wong? You know, in the long term, what this seems very likely to cause in my mind is a loss of credibility on Jensen's part.

SPEAKER_03: Because at the very least, if it's true that this woman, Alice Wong, is a Chinese intelligence asset, if what the U.S. intelligence services think is true, that she's a spy, at the very least speaks to like a real failure of judgment on his part. Not to mention getting involved with a customer. Yeah, of course. Yeah, getting involved with a customer as well. But it's going to make it harder for policymakers in Washington to take him seriously when he makes arguments. There's a lot of really, really serious arguments going on in Washington. Like people saying, look, I think we should, we're being too heavy handed about AI. We should be selling this stuff to them so that they get hooked on our technology and we have more control. These are like very serious policy arguments that are going on. And Jensen has been personally involved in them. I mean, he is there all the time these days, meeting with cabinet secretaries, talking to Howard Lutnick from Commerce talking to to all sorts of people from energy department from the state war and the narrative He's trying to push is it's not only safe for us to sell invidious products in China It's a good idea because it will give us more power and more control over the global market But at the very

least when he's in those meetings now, there's gonna be this cloud hanging over them This is the guy who got taken in by a Chinese intelligence asset At least that idea, whether or not it's true, it's going to be there behind every conversation he has. And my take is that it's going to be harder for him to make persuasive arguments about how the government should think about NVIDIA and about advanced AI technology when, you know, he's got this stain on his reputation. Do you have any sense of whether Alice Huang was able to get information out of Jensen Huang? We don't know what, if any, information that sensitive Jensen Wong may have repeated to Alice Wong. It's too early to know what that might be. But we have good reason to believe that US officials are very concerned that she may have passed some information on. Attempts to reach Alice Wong were unsuccessful. Two people in contact with her earlier this year said she was in China at the time. Her current whereabouts.

SPEAKER_04: are unknown. That's all for today, Tuesday, November 10th. The Journal is a co-production of Spotify and the Wall Street Journal. Additional reporting in this episode by Amrit Ramkumar. Thanks for listening. We're off tomorrow for Veterans Day. See you Thursday.

SPEAKER_02: Backed by two million healthcare providers worldwide, we're trusted as the number one insurance brand for the last seven years. Visit allianzcare.com and explore our Singapore plans to find out more. Terms and conditions apply.